External Affairs Minister, Jaswant Singh in 1999, and President K.R. Narayan in 2000. In 1999, border negotiations were held. In 2000, both countries celebrated 50th anniversary of their diplomatic relations between the two countries. In 2001, Li Peng visited India. In 2002, Chinese Premier Zhu Ronji visited India. Several agreements and MoUs were signed pertaining to tourism, sharing of hydrological information regarding the Brahmaputra river, peaceful use of outer space, cooperation in science technology and exchange of personnel. In March 2002, Air links were established with China Eastern Airlines starting direct services and Air India commencing services from December 2003. In 2003, Indian Prime Minister Vajpayee paid a visit to China. The signing of a memorandum on opening border trade through Sikkim is thought to have its obvious implications in starting the process of China recognizing—de facto first, but eventually de jure—that Sikkim is a part of India after its accession in 1975 to India. Sikkim was also dropped from the Chinese website after Vajpayee's path-breaking visit to China. In 2004, India and China signed an agreement on border trade which aimed at opening a border trading point through Nathu La followed by China's acceptance of status of India as part of India. Border Trade with India through Nathu La was opened in 2006. The other two passes were opened earlier in 2003. They are Namgaya Shipkila in Himachal Pradesh and Lipulekh (Gunji) in Uttaranchal.

During the first term of UPA-I in April 2005, Chinese Premier Wen Jiabao visited India, and in November 2006 President Hu Jintao visited India. Yet irritants remained regarding unresolved border problems and Chinese and Pakistani bonhomie. In 2007, Chinese President visited India and 13 Agreements and MoUs were signed. In 2008, Prime Minister Manmohan Singh visited China and both sides expressed eagerness to strengthen India-China Strategic and Cooperative Partnership for Peace and Prosperity and upheld the success of first joint military training exercise. In 2009, the 13th round of border talks took place despite China reassertion of Arunachal Pradesh as part of its territory. The 14th round of boundary talks focussing on finding a framework for a final settlement of disputed areas was held in Beijing in November 2010. There was no headway in this round of talks like earlier ones and